What If We're Capturing the Wrong Signal?

Tide
@TideMarkets · 18m

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By @jolimmmm

The crowd isn't dumb. The crowd has been forced into dumb instruments.

That's the thought I can't shake. We've built markets that process billions in volume, move faster than CNN can call elections, and onboard millions of new participants every year. And yet; one French trader with $30 million moved the odds on the most-watched market of 2024 for weeks.

Something about the instrument itself might be the bottleneck. Here's why I think that.

The Moneymaker parallel

In 2003, a Tennessee account named Chris Moneymaker turned $86 into $2.5 million at the World Series of Poker. Within months, PokerStars saw its user base double from 50,000 to 100,000 (ESPN). The "Moneymaker Effect" turned a back-room card game into mainstream entertainment.

What made poker explode wasn't just luck or timing. It was a technology shift: hole-card cameras. Suddenly viewers could see what players were actually thinking. The hidden became visible. The game transformed from watching faces to watching minds.

Betting on outcomes feels like it's at a similar inflection point. But have we built the right instrument to capture what the crowd actually knows?

Why the crowd showed up

Demetri Kofinas coined the term "**financial nihilism**" in 2021 to describe something real: a generation that's given up on traditional paths. A 2024 Harris Poll showed 46% of Gen Z believe they'll never afford a home they actually want. When the conventional playbook feels broken, people don't stop playing. They change the game.

Zero-day options went from 5% of S&P volume in 2016 to 59% by 2025. Perp trading volume on DEXs exploded over 1200% in a single year. High schoolers are forming memecoin trading clubs. The smartphone has put a casino in every pocket, and people can't help but spin the wheel.

(Read this piece from @HelloShreyas for a deeper dive)

But something more interesting is happening beneath the volume numbers. Trading is becoming a spectator sport. In September 2025, a live perps trading competition was held by ReboundX in Seoul that went viral: traders competed on stage with real capital while 400 spectators watched LED

displays showing real-time P&L. Commentators narrated near-liquidations. The audience gasped when someone dodged a margin call.

People aren't gambling because they're irrational. They're gambling because the expected value of "playing it safe" collapsed, and because the social layer around trading has never been more compelling.

The whale problem

Here's what I keep thinking about: prediction markets are supposed to be "wisdom of crowds" infrastructure. Francis Galton's famous ox-weight experiment in 1906 showed that aggregating guesses from 800 people produced a median estimate within 1% of the true weight. The crowd knows things no individual knows.

But Galton's experiment had specific conditions. The guesses were independent. The crowd was diverse. Nobody could see what others were guessing before they guessed.

When those conditions break down, crowds become dumb. Research found that when individuals share highly correlated information, collective accuracy can actually *decrease* as group size *increases.*

We saw this play out in real time during the 2024 election. A French trader bet over $30 million on Trump, dramatically moving the odds. He ended up winning around $47 million. Good for him. But it raised a question: was the market reflecting collective intelligence, or one wealthy individual's private conviction?

A Vanderbilt University study from late 2025 found something counterintuitive. PredictIt, with its small betting caps, achieved 93% accuracy across 2,500 political contracts. The highest-volume platform? 67%. The

researchers called it "enforced diversity". When no single whale can dominate, the price reflects thousands of independent voices rather than a few large positions.

More liquidity doesn't automatically mean better signal. Sometimes it means louder noise.

The shape of belief

This brings me to something I've been wrestling for a while.

Current prediction markets ask a specific kind of questions: Will X happen? Yes or no.

But that's not how most people think. When someone asks "Who's going to win the World Cup?" the honest answer isn't a single team. It's a distribution. Brazil: Maybe 15%. France: 20%. Argentina: 25%. A long tail on underdogs. The shape of belief contains information that a yes/no bet simply can't capture.

When you force a probability distribution into a binary choice, you lose something. The nuance. The uncertainty. The actual shape of what someone believes.

Philip Tetlock's "superforecasters", in the Good Judgement Project, are ordinary people who consistently outperform even intelligence analysts with classified access. They beat the professionals by roughly 30%. These forecasters don't think in black and white. They think in probabilities, constantly updating, comfortable with ranges.

Barbara Mellers found something striking about this: artificially rounding superforecaster predictions to the nearest 5% measurably worsened their accuracy, while regular forecasters showed almost no change, because their predictions were already that coarse. Average forecasters use round numbers (20%, 30%, 40%). Better forecasters use fives (20%, 25%, 30%). Superforecasters use ones (70%, 71%, 72%).

Precision, it turns out, isn't showmanship. It's signal.

What if prediction markets could capture that granularity?

A different kind of instrument

Here's where Tide comes in. Not as a pitch, but as a question we're trying to answer.

What if instead of splitting a question into dozens of separate yes/no

markets, you had a single shared surface where traders could express belief across the entire range of outcomes? Where the same underlying question could be viewed through different lenses. Some traders betting on specific outcomes. Other expressing distributions. Others just saying "higher or lower". But all contributing to the same liquidity pool.

What if being early and right was rewarded differently than being late and right? What if the market could distinguish between "I knew this before anyone else" and "I piled in once it was obvious"?

We don't have all the answers. But the questions feel important.

The infrastructure pattern

This isn't just theory. Hyperliquid's HIP-3 turned one DEX into a permissionless market factory: any builder who stakes enough can deploy their own perp exchange, choosing oracles, setting leverage, earning fee share.

Hyperliquid @HyperliquidX · Jan 6

Hyperliquid today looks very different from Hyperliquid a year ago. This time last year, the HyperEVM hadn't even launched, and there were only a handful of early believers building exclusively on Hyperliquid. Now, there are hundreds of teams building, dozens of regional

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The result isn't one exchange. It's an ecosystem of specialized deployers: @tradexyz, @felixprotocol, @ventuals, @kinetiq_xyz, @Dreamcash, @hyenatrade), with each targeting different niches through the same infrastructure layer.

Hyperliquid dominates decentralized perps. But the more interesting metric is the proliferation of independent deployers building on top: distribution fragmented across dozens of frontends, all feeding into unified infrastructure.

That's what "distribution-native" means: not one interface capturing all users, but many interfaces expressing the same underlying liquidity.

Visible forecasters

The poker boom wasn't just about money. It was about skill expression becoming visible. About amateurs seeing themselves in Moneymaker. About a game that rewarded reading people, not just reading cards.

What's the equivalent for forecasting?

Some are already showing us. Evan Semet, 26, quit his job as a quantitative researcher after hitting six figures monthly on Kalshi. Logan Sudeith, 25, left a $75k analyst position to trade prediction markets full-time, earning a year's salary in a single successful month. They're not getting lucky once: they're running models, building track records, becoming visible through consistent performance.

@remusofmars started with $370 and made $500,000 on a single memecoin. He's now celebrated as the latest celebrity trader. The old model on social media was: build a following first, monetize later. The new model is: make money first, and the audience will find you. Positive PNL mints clout.

But visibility is still limited to those who already have capital and quant backgrounds. What if the infrastructure itself surfaced calibration? What if being right over time, and not just once, was something the market rewarded structurally?

The questions we're sitting with

Tetlock's superforecasters beat intelligence analysts by 30%. They didn't have access to classified information. They just had better epistemic hygiene: thinking probabilistically, updating constantly, staying humble about what they didn't know.

Wisdom of crowds works when the crowd is diverse, independent, and decentralized. It fails when everyone's watching every else, when whales can move markets, when the instrument forces complex beliefs into simple boxes.

We've built incredible infrastructure for financial entertainment. Trading competitions. Social feeds. Copy-trading. Real-time PNL cards that mint clout.

But I wonder if we've paid enough attention to the instrument itself. The shape of the container determines what can be contained. A yes/no question can only capture a yes/no answer.

What would it mean to build markets that capture the actual shape of what people believe?

That's what we're exploring with Tide. Not because we have it figured out. Because we think the question matters.

What do you think: are we measuring the right thing? Or have we optimized for volume at the expense of signal?

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